

While the constant inflation-adjusted spending strategy provides a useful benchmark and baseline for analyzing sustainable retirement spending strategies, it should probably not be viewed as a realistic or reasonable retirement income strategy. Efficient retirement strategies must adjust spending at least somewhat for portfolio volatility. The remaining strategies provide variations on how to make such adjustments.

Fixed-Percentage Withdrawals

The fixed-percentage withdrawal strategy is the polar opposite of constant inflation-adjusted spending. Subsequent strategies we consider will strive to strike a balance between these two. The fixed-percentage strategy calls for retirees to spend a constant percentage of the remaining portfolio balance in each year of retirement.

The first advantage of this strategy is that, since it always spends a *percentage* of what remains, it never depletes the portfolio. Of course, spending could fall to uncomfortably low levels, but the concept of portfolio failure rates is incompatible here. In addition, spending is allowed to increase when market returns outpace the retirement distributions and the portfolio grows.

A third advantage of this rule is that it completely eliminates sequence-of-returns risk, as Dirk Cotton first pointed out in 2013 at his Retirement Café blog. The fixed-percentage approach provides a clear mechanism for reducing spending after a portfolio decline, thus removing such a risk. As with investing a lump sum of assets, the specific order of returns makes no difference to the final outcomes realized with this strategy. As such, we can expect the sustainable spending rate to be higher than with constant inflation-adjusted withdrawals.

As for disadvantages, when combined with volatile investments, spending can become extremely volatile with this strategy, making it difficult for retirees to budget in advance. For a fixed retirement budget, managing retirement with this rule could be a particular challenge. Those considering this rule should probably be thinking in terms of applying it to discretionary expenses that allow more flexibility for spending reductions that will not completely derail a retiree's standard of living.